



18 February 2014

Chief Executive Officer
Nairobi Securities Exchange Ltd.
The Exchange, 55 Westlands Road
P. O. Box 43633
NAIROBI

Dear Sir,

**RE: HOUSING FINANCE AUDITED GROUP RESULTS
AS AT 31 DECEMBER 2013**

Please find enclosed a copy of our Group and Company audited results for the period ended 31 December 2013 for your information and retention.

The Board of Directors recommends to pay a final dividend of KShs 1.00 per share, to be paid on or about 30 May 2014 to shareholders on the register at the close of business on 09 May 2014

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Sam Waweru
Finance & Administration Director

Enc.

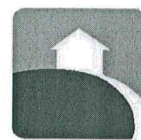
HOUSING FINANCE

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Website: <http://www.housing.co.ke>

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Finance



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AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

STATEMENT OF FINANCIAL POSITION AS AT	Bank		Group Consolidated	
	31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)	31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)
ASSETS				
Cash balances (both local and foreign)	139,376	133,333	139,376	133,333
Balances due from Central Bank of Kenya	1,030,256	1,605,984	1,030,256	1,605,984
Kenya Government and other securities held for dealing purposes	-	-	-	-
Financial Assets at fair value through profit and loss	-	-	-	-
Investment Securities:				
a) Held to Maturity:	401,644	-	401,644	-
a. Kenya Government securities	401,644	-	401,644	-
b. Other securities	-	-	-	-
b) Available for sale:	381,972	439,667	381,972	439,667
a. Kenya Government securities	321,972	288,167	321,972	288,167
b. Other securities	60,000	151,500	60,000	151,500
Deposits and balances due from local banking institutions	6,662,401	6,827,190	6,662,401	6,827,202
Deposits and balances due from banking institutions abroad	18,271	31,086	18,271	31,086
Tax recoverable	46,773	-	69,156	-
Loans and advances to customers (net)	30,293,711	35,215,897	30,293,711	35,215,897
Balances due from banking institutions in the group	-	-	-	-
Investments in subsidiary companies	255,120	255,120	-	-
Investment in Joint ventures	86,700	190,800	86,700	190,800
Investment properties	-	-	442,055	117,822
Property and equipment	710,769	939,444	716,708	945,515
Prepaid operating lease rentals	40,787	40,325	47,329	46,685
Intangible assets	9,923	395,935	329	395,935
Deferred tax asset	220,193	313,116	272,637	313,278
Retirement benefit asset	-	-	-	-
Other assets	388,032	367,214	384,425	1,126,173
TOTAL ASSETS	40,685,928	46,755,111	40,956,577	47,389,377
LIABILITIES				
Balances due to Central Bank of Kenya	-	-	-	-
Customer deposits	22,968,209	26,588,851	22,937,649	26,507,204
Deposits and balances due to local banking institutions	-	-	-	-
Deposits and balances due to foreign banking institutions	-	-	-	-
Other money market deposits	-	-	-	-
Borrowed funds	11,915,467	14,016,374	12,097,359	14,363,650
Balances due to banking institutions in the group	-	-	-	-
Tax payable	-	68,845	-	71,471
Dividends payable	24,112	47,710	24,112	47,710
Deferred tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	632,322	351,478	760,212	539,835
TOTAL LIABILITIES	35,540,110	41,073,258	35,819,332	41,529,870
SHAREHOLDERS' FUNDS				
Paid up /Assigned capital	1,153,000	1,155,350	1,153,000	1,155,350
Share premium/(discount)	1,552,173	1,554,523	1,552,173	1,554,523
Revaluation reserves	512,332	512,332	512,332	512,332
Retained earnings/Accumulated losses	1,510,801	1,918,942	1,502,228	2,096,598
Statutory loan loss reserves	241,845	238,371	241,845	238,371
Other Reserves	(36,503)	(36,503)	(36,503)	(36,503)
Proposed dividends	161,420	231,070	161,420	231,070
Capital grants	50,750	50,750	50,750	50,750
TOTAL SHAREHOLDERS' FUNDS	5,146,818	5,681,853	5,137,245	5,859,507
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	40,685,928	46,755,111	40,956,577	47,389,377

STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED	Bank		Group Consolidated	
	31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)	31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)
INTEREST INCOME				
Loans and advances	4,288,484	4,888,272	4,288,484	4,888,272
Government securities	63,185	46,536	63,185	46,536
Deposits and placements with banking institutions	717,146	505,251	717,146	505,251
Other Interest Income	-	-	-	-
Total interest income	5,068,815	5,440,059	5,068,815	5,440,059
INTEREST EXPENSES				
Customer deposits	2,296,931	1,598,748	2,296,856	1,598,378
Deposits and placement from banking institutions	-	-	-	-
Other interest expenses	821,927	1,288,304	821,927	1,288,304
Total interest expenses	3,118,858	2,887,052	3,118,783	2,886,682
NET INTEREST INCOME/(LOSS)	1,949,957	2,553,007	1,950,035	2,553,377
OTHER OPERATING INCOME				
Fees and commissions on loans and advances	138,865	155,907	138,865	155,907
Other fees and commissions	63,052	49,605	72,019	90,033
Foreign exchange trading income/(Loss)	-	1,567	-	1,567
Dividend Income	1,425	2,250	1,425	2,250
Other income	69,597	94,989	71,578	1,118,613
Total Non-interest income	272,939	304,318	283,887	1,368,370
TOTAL OPERATING INCOME	2,222,896	2,857,325	2,233,922	3,921,747
OPERATING EXPENSES				
Loan loss provision	197,766	280,893	197,766	280,893
Staff costs	681,635	803,880	684,429	804,080
Directors' emoluments	14,387	11,474	14,387	11,474
Rental charges	19,067	23,273	20,037	24,859
Depreciation charge on property and equipment	60,684	69,071	60,941	69,345
Amortisation charges	2,779	10,398	2,787	10,398
Other operating expenses	344,577	444,907	345,944	1,240,362
Total Other Operating Expenses	1,320,895	1,643,896	1,326,291	2,441,391
Profit/(loss) before tax and exceptional items	902,001	1,213,429	907,631	1,480,356
Exceptional items				
Profit/(loss) after exceptional items	902,001	1,213,429	907,631	1,480,356
Current tax	(353,264)	(497,383)	(354,985)	(525,801)
Deferred tax	136,316	92,923	190,688	40,641
Other Comprehensive Income	687,053	808,969	743,334	995,196
Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
Fair value changes in available for sale financial assets	(2,503)	57,018	(2,503)	57,018
Revaluation surplus on Property, plant and equipment	-	-	-	-
Share of other comprehensive income of associates	-	-	-	-
Income tax relating to components of other comprehensive income	-	-	-	-
Other Comprehensive Income for the year net of tax	(2,503)	57,018	(2,503)	57,018
Total comprehensive income for the year	684,550	865,987	740,831	1,052,214
Earnings per share	2.98	3.50	3.22	4.31
Dividend per share	1.40	1.75	1.40	1.75

III DISCLOSURES AS AT	Bank		Group Consolidated	
	31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)	31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)
1 Non-Performing Loans and Advances				
a) Gross non-performing loans and advances	2,331,482	3,209,739	2,331,482	3,209,739
b) Less: Interest in Suspense	233,788	191,031	233,788	191,031
c) Total non-Performing loans and advances (a-b)	2,097,694	3,018,708	2,097,694	3,018,708
d) Less: Loan loss provisions	382,598	521,728	382,598	521,728
e) Net non-performing loans and advances (c-d)	1,715,096	2,496,980	1,715,096	2,496,980
f) Discounted value of securities	1,715,096	2,496,980	1,715,096	2,496,980
g) Net Exposure (e-f)	-	-	-	-
2 Insider loans and advances				
a) Directors, shareholders and associates	-	-	-	-
b) Employees	798,657	814,590	798,657	814,590
c) Total insider Loans and Advances	798,657	814,590	798,657	814,590
3 Off-Balance Sheet items				
a) Letters of credit, guarantees and acceptances	13,819	31,518	13,819	31,518
b) Other contingent liabilities	-	-	-	-
c) Total contingent liabilities	13,819	31,518	13,819	31,518
4 Capital Strength				
a) Core capital	4,179,471	3,993,914	4,179,471	3,993,914
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/Deficiency	3,179,471	2,993,914	3,179,471	2,993,914
d) Supplementary capital	2,268,942	2,252,141	2,268,942	2,252,141
e) Total capital (a+d)	6,448,413	6,246,055	6,448,413	6,246,055
f) Total risk weighted assets	21,847,824	28,946,161	21,847,824	28,946,161
g) Core capital /Total deposit liabilities	18.20%	15.02%	18.20%	15.02%
h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%
i) Excess/Deficiency	10.20%	7.02%	10.20%	7.02%
j) Core capital /Total risk weighted assets	19.13%	13.80%	19.13%	13.80%
k) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%
l) Excess/Deficiency (j-k)	11.13%	5.80%	11.13%	5.80%
m) Total capital /Total risk weighted assets	29.52%	21.58%	29.52%	21.58%
n) Minimum Statutory Ratio	12.00%	12.00%	12.00%	12.00%
o) Excess/Deficiency (m-n)	17.52%	9.58%	17.52%	9.58%
5 Liquidity				
a) Liquidity Ratio	36.80%	33.12%	36.80%	33.12%
b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%
c) Excess (Deficiency) (a-b)	16.80%	13.12%	16.80%	13.12%

Own
property
with Zero
Stress

ENTRY REQUIREMENTS:

10% deposit ~ zero

legal fees* ~ zero

stamp duty ~ zero

valuation costs* ~ zero

FROM TODAY
SAY YES!
TO
105%
FINANCING

Ezesha is a new, revolutionary product that enables aspiring homeowners access up to 105% financing. Meaning it absorbs those burdensome entry costs - 10% deposit, stamp duty, legal fees and valuation costs and spreads them across your mortgage repayment period. So that all you bear are your belongings as you move to your new home. Visit us or call to find out if you qualify for a home loan. Ezesha. Enabling aspirations.

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Message from the Directors

An interim dividend of KShs 0.75 per share was paid on 30 August 2013. Subject to approval by the shareholders, the Directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of KShs 1.00 per share to be paid on or about 30 May 2014 to shareholders registered at the close of business on Friday 9 May 2014.

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and received unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.housing.co.ke.

They may also be accessed at the institution's head office located at Rehani House, Kenyatta Avenue/ Koinange Street, Nairobi after the approval by members at the annual general meeting.

Frank Ireri
CHIEF EXECUTIVE OFFICER

Steve Omenge Mainda
CHAIRMAN

HOUSING FINANCE

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



I	STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2013	Bank		Group Consolidated	
		31.12.2012	31.12.2013	31.12.2012	31.12.2013
		Audited	Audited	Audited	Audited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	139,376	133,333	139,376	133,333
2	Balances due from Central Bank of Kenya	1,030,256	1,605,984	1,030,256	1,605,984
3	Kenya Government and other securities held for dealing purposes	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-
5	Investment Securities:	-	-	-	-
	a) Held to Maturity:	401,644	-	401,644	-
	a. Kenya Government securities	401,644	-	401,644	-
	b. Other securities	-	-	-	-
	b) Available for sale:	381,972	439,667	381,972	439,667
	a. Kenya Government securities	321,972	288,167	321,972	288,167
	b. Other securities	60,000	151,500	60,000	151,500
6	Deposits and balances due from local banking institutions	6,662,401	6,827,190	6,662,414	6,827,202
7	Deposits and balances due from banking institutions abroad	18,271	31,086	18,271	31,086
8	Tax recoverable	46,773	-	69,156	-
9	Loans and advances to customers (net)	30,293,711	35,215,897	30,293,711	35,215,897
10	Balances due from banking institutions in the group	-	-	-	-
11	Investments in associates	-	-	-	-
12	Investments in subsidiary companies	255,120	255,120	-	-
13	Investment in Joint ventures	86,700	190,800	86,700	190,800
14	Investment properties	-	-	442,055	117,822
15	Property and equipment	710,769	939,444	716,708	945,515
16	Prepaid operating lease rentals	40,787	40,325	47,329	46,685
17	Intangible assets	9,923	395,935	9,923	395,935
18	Deferred tax asset	220,193	313,116	272,637	313,278
19	Retirement benefit asset	-	-	-	-
20	Other assets	388,032	367,214	384,425	1,126,173
21	TOTAL ASSETS	40,685,928	46,755,111	40,956,577	47,389,377
B.	LIABILITIES				
22	Balances due to Central Bank of Kenya	-	-	-	-
23	Customer deposits	22,968,209	26,588,851	22,937,649	26,507,204
24	Deposits and balances due to local banking institutions	-	-	-	-
25	Deposits and balances due to foreign banking institutions	-	-	-	-
26	Other money market deposits	-	-	-	-
27	Borrowed funds	11,915,467	14,016,374	12,097,359	14,363,650
28	Balances due to banking institutions in the group	-	-	-	-
29	Tax payable	-	68,845	-	71,471
30	Dividends payable	24,112	47,710	24,112	47,710
31	Deferred tax liability	-	-	-	-
32	Retirement benefit liability	-	-	-	-
33	Other liabilities	632,322	351,478	760,212	539,835
34	TOTAL LIABILITIES	35,540,110	41,073,258	35,819,332	41,529,870
C.	SHAREHOLDERS' FUNDS				
35	Paid up /Assigned capital	1,153,000	1,155,350	1,153,000	1,155,350
36	Share premium/(discount)	1,552,173	1,554,523	1,552,173	1,554,523
37	Revaluation reserves	512,332	512,332	512,332	512,332
38	Retained earnings/Accumulated losses	1,510,801	1,918,942	1,502,228	2,096,596
39	Statutory loan loss reserves	241,845	238,371	241,845	238,371
40	Other Reserves	(36,503)	20,515	(36,503)	20,515
41	Proposed dividends	161,420	231,070	161,420	231,070
42	Capital grants	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	5,145,818	5,681,853	5,137,245	5,859,507
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	40,685,928	46,755,111	40,956,577	47,389,377

HOUSING FINANCE

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 DECEMBER 2013	Bank		Group Consolidated	
		31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)	31.12.2012 Audited (Ksh'000)	31.12.2013 Audited (Ksh'000)
1	INTEREST INCOME				
1.1	Loans and advances	4,288,484	4,888,272	4,288,484	4,888,272
1.2	Government securities	63,185	46,536	63,185	46,536
1.3	Deposits and placements with banking institutions	717,146	505,251	717,146	505,251
1.4	Other Interest Income	-	-	-	-
1.5	Total interest income	5,068,815	5,440,059	5,068,815	5,440,059
2	INTEREST EXPENSES				
2.1	Customer deposits	2,296,931	1,598,748	2,296,853	1,598,378
2.2	Deposits and placement from banking institutions	-	-	-	-
2.3	Other interest expenses	821,927	1,288,304	821,927	1,288,304
2.4	Total interest expenses	3,118,858	2,887,052	3,118,780	2,886,682
3	NET INTEREST INCOME/(LOSS)	1,949,957	2,553,007	1,950,035	2,553,377
4	OTHER OPERATING INCOME				
4.1	Fees and commissions on loans and advances	138,865	155,907	138,865	155,907
4.2	Other fees and commissions	63,052	49,605	72,019	90,033
4.3	Foreign exchange trading income/(Loss)	-	1,567	-	1,567
4.4	Dividend Income	1,425	2,250	1,425	2,250
4.5	Other income	69,597	94,989	71,578	1,118,613
4.6	Total Non-interest income	272,939	304,318	283,887	1,368,370
5	TOTAL OPERATING INCOME	2,222,896	2,857,325	2,233,922	3,921,747
6	OPERATING EXPENSES				
6.1	Loan loss provision	197,766	280,893	197,766	280,893
6.2	Staff costs	681,635	803,880	684,429	804,060
6.3	Directors' emoluments	14,387	11,474	14,387	11,474
6.4	Rental charges	19,067	23,273	20,037	24,859
6.5	Depreciation charge on property and equipment	60,684	69,071	60,941	69,345
6.6	Amortisation charges	2,779	10,398	2,787	10,398
6.7	Other operating expenses	344,577	444,907	345,944	1,240,362
6.8	Total Other Operating Expenses	1,320,895	1,643,896	1,326,291	2,441,391
7	Profit/(loss) before tax and exceptional items	902,001	1,213,429	907,631	1,480,356
8	Exceptional items	-	-	-	-
9	Profit/(loss) after exceptional items	902,001	1,213,429	907,631	1,480,356
10	Current tax	(353,264)	(497,383)	(354,985)	(525,801)
11	Deferred tax	138,316	92,923	190,688	40,641
12	Profit/(loss) after tax and exceptional items	687,053	808,969	743,334	995,196
13	Other Comprehensive Income				
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	(2,503)	57,018	(2,503)	57,018
13.3	Revaluation surplus on Property, plant and equipment	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-
14	Other Comprehensive Income for the year net of tax	(2,503)	57,018	(2,503)	57,018
15	Total comprehensive income for the year	684,550	865,987	740,831	1,052,214
	Earnings per share	2.98	3.50	3.22	4.31
	Dividend per share	1.40	1.75	1.40	1.75

HOUSING FINANCE

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



III	DISCLOSURES	Bank		Group Consolidated	
		31.12.2012	31.12.2013	31.12.2012	31.12.2013
		Audited	Audited	Audited	Audited
	AS AT 31 DECEMBER 2013	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Non-Performing Loans and Advances				
	a) Gross non-performing loans and advances	2,331,482	3,209,739	2,331,482	3,209,739
	b) Less: Interest in Suspense	233,788	191,031	233,788	191,031
	c) Total non-Performing loans and advances (a-b)	2,097,694	3,018,708	2,097,694	3,018,708
	d) Less: Loan loss provisions	382,598	521,728	382,598	521,728
	e) Net non-performing loans and advances(c-d)	1,715,096	2,496,980	1,715,096	2,496,980
	f) Discounted value of securities	1,715,096	2,496,980	1,715,096	2,496,980
	g) Net Exposure(e-f)	-	-	-	-
2	Insider loans and advances				
	a) Directors, shareholders and associates	-	-	-	-
	b) Employees	798,657	814,590	798,657	814,590
	c) Total Insider Loans and Advances	798,657	814,590	798,657	814,590
3	Off-Balance Sheet items				
	a) Letters of credit, guarantees and acceptances	13,819	31,518	13,819	31,518
	b) Other contingent liabilities	-	-	-	-
	c) Total contingent liabilities	13,819	31,518	13,819	31,518
4	Capital Strength				
	a) Core capital	4,179,471	3,993,914		
	b) Minimum Statutory Capital	1,000,000	1,000,000		
	c) Excess/Deficiency	3,179,471	2,993,914		
	d) Supplementary capital	2,268,942	2,252,141		
	e) Total capital (a+d)	6,448,413	6,246,055		
	f) Total risk weighted assets	21,847,824	28,946,161		
	g) Core capital /Total deposit liabilities	18.20%	15.02%		
	h) Minimum Statutory Ratio	8.00%	8.00%		
	i) Excess/Deficiency	10.20%	7.02%		
	j) Core capital /Total risk weighted assets	19.13%	13.80%		
	k) Minimum Statutory Ratio	8.00%	8.00%		
	l) Excess/Deficiency (j-k)	11.13%	5.80%		
	m) Total capital /Total risk weighted assets	29.52%	21.58%		
	n) Minimum Statutory Ratio	12.00%	12.00%		
	o) Excess/Deficiency (m-n)	17.52%	9.58%		
5	Liquidity				
	a) Liquidity Ratio	36.80%	33.12%		
	b) Minimum Statutory Ratio	20.00%	20.00%		
	c) Excess(Deficiency) (a-b)	16.80%	13.12%		

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and received unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.housing.co.ke.

They may also be accessed at the institution's head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi after the approval by members at the annual general meeting.

Signed.....
CHIEF EXECUTIVE OFFICER

Signed.....
CHAIRMAN

HOUSING FINANCE COMPANY OF KENYA LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2013 (CONTINUED)

2013:	Share capital KShs'000	Revaluation reserve KShs'000	Share premium KShs'000	Proposed dividends KShs'000	Statutory reserve KShs'000	Retained profits KShs'000	Available-for- sale reserve KShs'000	Total KShs'000
At 1 January 2013	1,153,000	512,331	1,552,173	161,420	241,845	1,502,228	(36,503)	5,086,494
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	995,196	-	995,196
Change in fair value of available-for-sale investments	-	-	-	-	-	-	57,018	57,018
Transfer from statutory reserve	-	-	-	-	(3,474)	3,474	-	-
Total comprehensive income	-	-	-	-	(3,474)	998,670	57,018	1,052,214
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	2,350	-	2,350	-	-	-	-	4,700
Dividend paid - 2012	-	-	-	(161,420)	-	-	-	(161,420)
Interim dividend paid - 2013	-	-	-	-	-	(173,231)	-	(173,231)
Proposed dividends	-	-	-	231,070	-	(231,070)	-	-
Total transactions with owners for the year	2,350	-	2,350	69,650	-	(404,301)	-	(329,951)
Balance as at 31 December 2013	1,155,350	512,331	1,554,523	231,070	238,371	2,096,597	20,515	5,808,757

HOUSING FINANCE COMPANY OF KENYA LIMITED

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2013

	2013 KShs'000	2012 KShs'000
Net cash flows from operating activities	<u>1,741,341</u>	<u>2,201,041</u>
INVESTING ACTIVITIES		
Purchase of property and equipment	(107,573)	(75,230)
Investment in joint venture	(104,100)	(86,700)
Capital work in progress	(192,263)	-
Proceeds from sale of equipment	4,025	912
Additions to intangible assets	(396,410)	(10,131)
Net cash flow from investing activities	<u>(796,321)</u>	<u>(171,149)</u>
FINANCING ACTIVITIES		
Employee Share Ownership Plan	4,700	1,750
Dividend paid	(311,052)	(319,798)
Net cash flow from financing activities	<u>(306,352)</u>	<u>(318,048)</u>
Net increase in cash and cash equivalents	<u>638,668</u>	<u>1,711,844</u>



HOUSING FINANCE COMPANY OF KENYA LIMITED

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2013

NOTES TO THE STATEMENT OF CASH FLOWS

	2013	2012
	KShs'000	KShs'000
(a) Reconciliation of operating profit to net cash flows from operating activities		
Profit before taxation	1,480,356	907,631
Depreciation	68,700	60,297
Amortisation of intangible asset	10,397	2,786
Amortisation of prepaid operating lease rentals	644	644
(Profit)/loss on sale of property and equipment	(1,696)	2,521
Decrease of balances with Central Bank of Kenya-CRR	(108,620)	(1,030,256)
Increase in customer deposits	3,569,555	4,266,063
Increase in mortgage advances to customers	(4,922,186)	(5,070,875)
Investment in Government securities	400,967	(350,272)
Decrease/(increase) in housing project	324,233	(421,925)
Increase in other assets	(741,748)	(138,247)
(Decrease)/increase in other liabilities	(220,379)	451,496
Increase in borrowed funds	<u>2,266,292</u>	<u>4,081,253</u>
Net cash flows from operating activities before tax	2,126,515	2,761,116
Income tax paid	(385,174)	(560,075)
Net cash flows from operating activities	<u>1,741,341</u>	<u>2,201,041</u>
(b) Analyses of cash and cash equivalents		Change in the year
	2013	2012
	KShs'000	KShs'000
Cash in hand and bank	921,338	765,313
Balances due from banking institutions	<u>6,878,601</u>	<u>6,395,958</u>
	<u>7,799,939</u>	<u>7,161,271</u>
		<u>638,668</u>

